

MGTF 407 VALUATION
FALL 2026
FULL-TIME MBA PROGRAM

DRAFT Aug 2026

PROFESSOR Krisztina Büti
EMAIL kbuti@ucsd.edu
PHONE (858) 534-9816
OFFICE HOURS by appointment
TEACHING ASSISTANT: TBD
TA EMAIL TBD
CLASS SESSIONS Mondays 1:00 – 3:50 pm
CLASSROOM WFH 3N129

DESCRIPTION

Valuation is the science and art of assigning a fair market value to an asset. Valuation skills are indispensable in the financial toolset of entrepreneurs, managers, and investors. The simple strategy of "buy low sell high" depends on a dependable estimate of value that serves as the benchmark. Without the knowledge to establish value and assess risk, financial managers will make suboptimal decisions.

In this course we will develop an in-depth knowledge of the determinants of firm value and the reasons short-term stock price is likely to deviate from long-term value. We will discuss discounted cash flow valuation, equity risk models, relative valuation, and real options. We will build on the knowledge you already have about some of these topics but deal with the issues in much greater depth and detail. We will spend a substantial part of the course on case studies and spreadsheet models and tie valuation to the state of the macroeconomy.

Prerequisites: Core MBA courses: MGT 403, 404, 405, 406, 407, 408, 409, 410, 413, familiarity with Microsoft Excel.

OBJECTIVES

By the end of the course, students are expected to possess the skills for:

- *preparing pro forma financial statements;*
- *managing growth;*

- *analyzing and calculating cash flow to equity, cash flow to the firm and free cash flow;*
- *evaluating risk characteristics and developing the appropriate discount rate to the cash flows;*
- *assessing capital structure decisions;*
- *choosing the right valuation model to a particular firm; and*
- *appraising special situations: start-up and young businesses, firms in distress.*

MATERIALS

Required

1. The course reader with readings and cases.
2. Aswath Damodaran, "Investment Valuation" 3rd edition, John Wiley & Sons, Inc, Hoboken, New Jersey, 2012

This book is Aswath Damodaran's comprehensive text on valuation. It serves as an invaluable reference for finance professionals working with equities.

I will post the content of the lectures, homeworks, and supplemental material on Canvas.

Recommended (optional)

Simon Benninga, "Principles of Finance with Excel", Oxford University Press, 2006
This textbook is an excellent study resource for those who need guidance on using advanced functions in Excel for financial applications including valuation.

SCHEDULE

We will cover a substantial amount of material in a relatively short time. The course outline provides the general framework to be adjusted as necessary. Will we get through all of the outlined material below? It is doubtful...and you are encouraged to slow us down as much as possible with insightful in-class discussions!

Chapters in the textbook and readings in the coursepack are marked with an asterisk (*). Readings posted on Canvas are marked with a hashtag (#).

Since the textbook is so detailed and comprehensive, I do not require you to review the designated chapters thoroughly before class. However, these chapters provide useful reference and additional explanations when you prepare for the quiz beyond the class materials.

Please read the assigned case study carefully before each class.

Session	Date	Class Topic & Activities	Readings and assignments
1	Sep 28	Introduction	- Chapters 1-2
2	Oct 5	<u>Quiz 1</u> The Importance of Growth Financial Statement Forecasting	* Whole Foods Market: The Deutsche Bank Report * Financial Analytics Toolkit - Chapter 11 <u>Submit team member list</u>
3	Oct 12	<u>Quiz 2</u> DCF Valuation	* Case: Teuer Furniture (A) - Chapters 13 -15 <u>Submit the name of the company for the team project</u>
4	Oct 19	<u>Quiz 3</u> Equity Risk Models and the Cost of Capital	# no case – but please refresh your WACC skills # handouts - Chapter 4
5	Oct 26	<u>Quiz 4</u> Relative Valuation	* Case: Teuer Furniture (B) - Chapters 17 – 20
6	Nov 2	<u>Quiz 5</u> Relative Valuation Applications Summary on Real Options	* Case: Rosetta Stone: Pricing the 2009 IPO - Chapters 28-29
7	Nov 9	<u>Quiz 6</u> Special Situations: Start Ups and Young Firms	* Case: Dropbox – Series B Financing - Chapter 23
8	Nov 16	<u>Quiz 7</u> Valuation and Capital Structure	* Handouts
9	Nov 23	<u>Quiz 8</u> Special Situations: Firms in	* Case: Buffett's Bid for Media General's Newspapers

		Distress	- Chapter 30
10	Nov 30	Team Presentations	

ASSIGNMENTS

Reading Assignments

Independent work.

The course integrates lectures, case study analysis, and financial modeling.

The Powerpoint slides and handouts contain the concepts and calculations, that you need to know well for the quizzes and the team project. The spreadsheet models illustrate the techniques we use in Valuation.

The case studies provide practical application of the material and useful guides for applying the concepts we discuss. **Please read the assigned cases carefully before each class.** If you are not familiar with the decision-making situation chances are, you will not enjoy and understand the concepts that guide the reasoning.

The chapters in the book serve as background material for the lectures and case studies. I would like you to consult them to become familiar with the terminology and additional insights to the theory and techniques.

Team Projects

Collaborative work.

The course includes a team project. Teams may have up to five members. Please send me the names of team members by the second session on October 8, 2025 via email.

The team project will involve **creating a case study on valuing a publicly held company.** This project involves substantial work. The final presentation will describe the firm and its activities, analyze past financial performance, estimate pro forma financial projections, include a discounted cash flow and relative valuation and discuss whether the current stock price reflects intrinsic value correctly.

Team presentations take place at the last session on December 3, 2025.

I recommend that teams choose a single-segment company: a firm whose operations are limited to a single industry. If a team needs help choosing I am ready to recommend companies. Teams will present their work and submit a detailed report of their analysis in the

last session. Please submit the name of the company you choose for the analysis by the third session on October 15, 2025.

The team project is worth 20 gradepoints.

Quizzes

Independent work.

Starting in Week 2 students will complete be eight brief (appr. 20-minute) quizzes at the beginning of each session. Sample review questions and problems will be posted on Canvas each week to facilitate learning.

Quizzes are closed book – closed notes and they must be completed individually. Collaboration and use of resources and applications besides those specified by the instructor are not allowed on the quizzes. The use of AI tools is not permitted on quizzes.

The Honor Code of Rady School applies to all quizzes.

Quizzes are worth 10 points each. The lowest quiz grade will be dropped.

Class Participation

Class participation is an important way to enhance the learning experience for everyone. Participation can take the form of asking relevant questions, making comments, or citing an experience or viewpoint. Ten percent of the course grade is awarded for class participation. This grade will reflect my assessment of both the quantity and quality of the individual's contribution to class learning.

GRADING

Exams and Assignments	Points [or percentage]
Team Project	20
Quizzes	70
Class participation	10
Total	100

COURSE POLICIES

Finance is a fascinating field for researchers and practitioners alike. The case discussions give ample opportunity to learn from each other's varied experiences and perspectives. We strive to

practice meaningful and constructive dialogue in an atmosphere of mutual respect, willingness to listen, and tolerance of opposing points of view.

We aim to create an inclusive learning environment that supports diversity of thoughts, perspectives and experiences, and honors identities (including race, gender, class, sexuality, religion, ability, etc.). Students are encouraged to make suggestions to improve focus on diversity and inclusion and bring sensitive issues to my attention. I will respect requests to keep anonymity.

Although Valuation is extremely useful for all finance professionals, it is considered a "difficult" class. I would like to help you on the way: please do not hesitate to send your questions by email or ask for an office hour appointment.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The Rady Honor Code applies to all assignments in this course.

No student shall engage in any activity that involves attempting to receive a grade by means other than honest effort, for example:

- **no student shall knowingly procure, provide, or accept any unauthorized material that contains questions or answers to any examination or assignment to be given at a subsequent time,**
- **no student shall complete, in part or in total, any examination or assignment for another person,**
- **no student shall knowingly allow any examination or assignment to be completed, in part or in total, for himself or herself by another person,**
- **no student shall plagiarize or copy the work of another person and submit it as his or her own work,**
- **no student shall employ aids excluded by the instructor in undertaking coursework or in completing any exam or assignment,**
- **no student shall alter graded class assignments or examinations and then resubmit them for re-grading, and**
- **no student shall submit substantially the same material in more than one course without prior authorization.**

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

CLASS POLICIES ON THE USE OF ARTIFICIAL INTELLIGENCE (AI) TOOLS LIKE CHATGPT, BARD, BING CHAT, CLAUDE, ETC.

AI tools such as ChatGPT are permitted in this class for the purposes of enhancing learning.

However, it is the responsibility of each student to ensure that their use of AI tools does not constitute academic misconduct, such as plagiarism or cheating.

In other words students are responsible for

- verifying the accuracy of content generated by AI tools if they use this content in graded assignments, such as the team project, or discussion board contributions;
- referencing such content to its proper AI source;
- employing AI tools in a responsible and ethical manner; and
- abiding by the guidelines set forth by the instructor.

AI tools (like ChatGPT, Bard, Bing Chat, Claude, etc.) are not permitted on the quizzes.

Any violation of these guidelines will result in disciplinary action.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the instructor and OSD liaison.

Students requesting accommodations for this course due to a disability must provide a current Authorization for Accommodation (AFA) letter (paper or electronic) issued by the Office for Students with Disabilities (<https://osd.ucsd.edu/portal/tutorial.html>). Students are required to discuss accommodation arrangements with instructors and OSD liaisons in the department **72 business hours in advance** of any exams or assignments. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](https://osd.ucsd.edu) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

NONDISCRIMINATION POLICY STATEMENT

The University of California, in accordance with applicable federal and state laws and university policies, does not discriminate on the basis of race, color, national origin, religion, sex, gender, gender identity, gender expression, pregnancy (including pregnancy, childbirth, and medical conditions related to pregnancy or childbirth), physical or mental disability, medical condition, genetic information, ancestry, marital status, age, sexual orientation, citizenship, or service in the uniformed services (including membership, application for membership, performance of service, application for service, or obligation for service in the uniformed services). The university also prohibits harassment based on these protected categories, including sexual harassment, as well as sexual assault, domestic violence, dating violence, and stalking. The nondiscrimination policy covers admission, access, and treatment in university programs and activities.

TITLE IX

The Office for the Prevention of Harassment & Discrimination (OPHD) provides assistance to students, faculty, and staff regarding reports of bias, harassment, and discrimination. OPHD is the UC San Diego Title IX office. Title IX of the Education Amendments of 1972 is the federal law that prohibits sex discrimination in educational institutions that are recipients of federal funds. Rady students have the right to an educational environment that is free from harassment and discrimination.

You can make a complaint of harassment or discrimination — or simply make an appointment to find out more information — by contacting OPHD.

- (858) 534-8298
- ophd@ucsd.edu
- [Overview for Students](#) webpage

Students may feel more comfortable discussing their particular concern with a trusted employee. This may be a Rady student affairs staff member, a department Chair, a faculty member or other University official. These individuals have an obligation to report incidents of sexual violence and sexual harassment to OPHD. This does not necessarily mean that a formal complaint will be filed.

If you find yourself in an uncomfortable situation, ask for help. The Rady School of Management is committed to upholding University policies regarding nondiscrimination, sexual violence and sexual harassment.

HEALTH AND WELL-BEING

Throughout your time at UC San Diego, you may experience a range of issues that can negatively impact your learning. These may include physical illness, housing or food insecurity, strained relationships, loss of motivation, depression, anxiety, high levels of stress, alcohol and drug problems, feeling down, interpersonal or sexual violence, or grief.

These concerns or stressful events may lead to diminished academic performance and affect your ability to participate in day-to-day activities. If there are issues related to coursework that are a source of particular stress or challenge, please speak with me, [Professor's Name], so that I am able to support you. UC San Diego provides a number of resources to all enrolled students, including:

- Counseling and Psychological Services (858-534-3755 | caps.ucsd.edu)
- Student Health Services (858-534-3300 | studenthealth.ucsd.edu)
- CARE at the Sexual Assault Resource Center (858-534-5793 | care.ucsd.edu)
- The Hub Basic Needs Center (858-246-2632 | basicneeds.ucsd.edu)